Cambridge (CIE) A Level Business

Your notes

Human Resource Management (HRM)

Contents

- The Role of Human Resource Management
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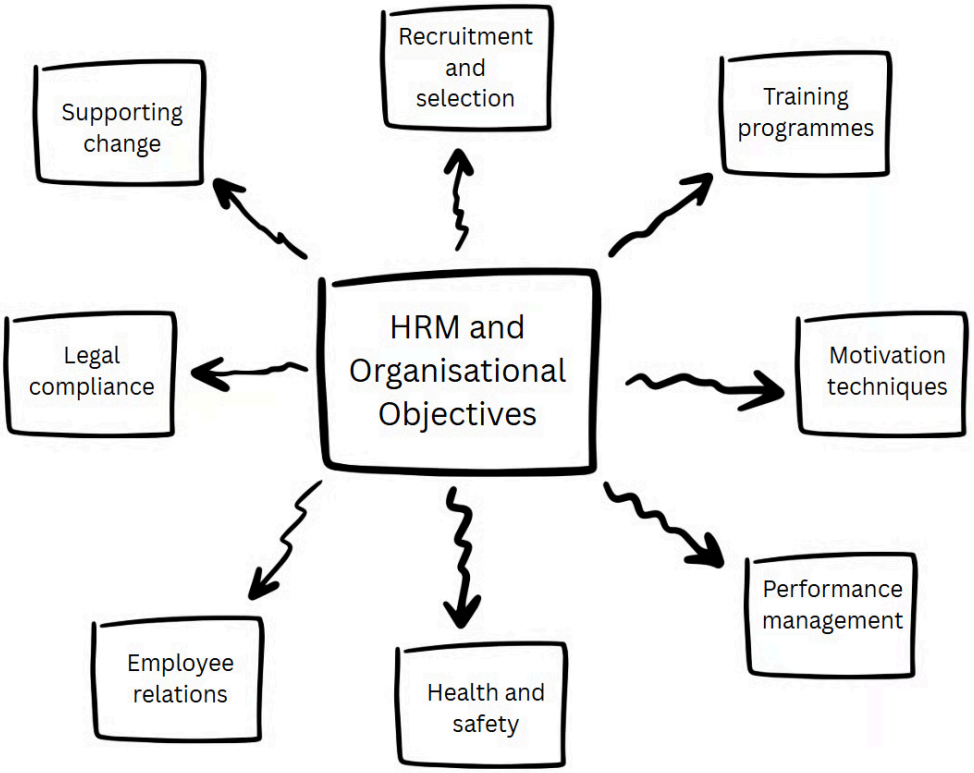
The role of HRM in meeting organisational objectives

- **Human Resource Management (HRM)** is the business function that focuses on managing the people who work there
- It involves **recruiting**, **training**, **motivating** and **retaining employees** so that the business can run efficiently and meet its goals

How HRM helps meet organisational objectives



HRM supports operational objectives through recruitment and selection, training, performance management and employee relations

- **Recruitment and selection**
  - HRM designs job adverts, interviews candidates, and chooses the best person for each job
  - This helps the business run efficiently with the right staff
- **Training programmes**
  - HRM organises training and development activities for workers
  - This helps them improve their skills and contribute more effectively

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- **Motivation techniques**
  - HRM can introduce **financial** (bonuses, pay rises) and **non-financial rewards** (promotion opportunities, job rotation)
  - This helps keep workers happy and productive
- **Performance management**
  - HRM monitors performance through appraisals and gives feedback to help employees improve and feel valued
- **Health and safety**
  - HRM ensures that legal requirements are met and the workplace is safe
  - This helps reduce accidents and absenteeism
- **Employee relations**
  - HRM works with trade unions and staff to solve conflicts and maintain a positive work atmosphere
- **Legal compliance**
  - HRM makes sure the business follows the law on employment contracts, dismissal and discrimination, reducing the risk of fines or lawsuits
- **Supporting change**
  - HRM helps manage change, such as mergers or the introduction of technology by retraining staff and communicating clearly
  - This should help to reduce employee resistance and speed up the change process

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The reasons for and role of a workforce plan

- Workforce planning focuses on **identifying how many** and **what kind of employees** are needed in a business
  - It looks at how employees will be
    - Recruited and deployed
    - Developed and trained
    - Motivated, managed and effectively led

Reasons for workforce planning

- Workforce planning helps make sure the business has the **right number** of people in the **right jobs** at the **right time**

Reason	Explanation
Fill skill gaps	▪ If a business knows it will need people with digital or technical skills, workforce planning ensures they are trained or hired in time
Handle retirements or resignations	▪ By predicting when people might leave, HRM can recruit or promote others without causing disruption
Meet changes in demand	▪ If a business expects growth, such as launching in new countries, it plans for more staff ▪ If demand drops, it plans to reduce the workforce
Control labour costs	▪ Avoids overstaffing, which is expensive, or understaffing, which reduces productivity and service quality
Support strategic goals	▪ If a business wants to increase its customer service quality, it may need to hire more experienced employees or provide extra training
Adapt to technological changes	▪ New machines or systems may require different skills, so new staff or training might be needed

Labour turnover informs workforce planning

- Labour turnover measures the **proportion of employees leaving a business** during a **specific time period**

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- Calculating labour turnover rate helps HRM better understand workforce needs
- It is expressed as a percentage and is calculated using the formula

$$\text{Labour turnover} = \frac{\text{Number of staff leaving}}{\text{Total number of staff}} \times 100$$

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Factors that affect labour turnover

- A rising rate of labour turnover can signal **internal human resource management problems** such as
  - **Poor management** leading to workers losing commitment
  - A **poor recruitment and selection** approach leading to staff leaving soon after starting their job
  - **Low wage levels** compared to those that could be earned elsewhere
- **External factors** can also increase labour turnover in a business
  - A buoyant local economy where **workers are attracted to employment opportunities elsewhere**
  - Improved **transport links** that provide an opportunity for workers to seek work across a **wider geographical area**

Implications of high and low labour turnover

High labour turnover

- High labour turnover means that a business regularly loses a large number of employees who need to be replaced
  - This incurs **recruitment and training costs**, **disruption to operations** and **loss of skills**
  - However, a moderate labour turnover rate can bring **new ideas** and **energy** into the business
- Fast-food chains like **McDonald's** or **KFC** often experience **high labour turnover**, especially among part-time or entry-level workers
  - These jobs often involve **long hours**, **repetitive tasks** and **relatively low pay**
  - Many workers are **students** or **temporary workers** who leave after a short time
  - There may be **limited long-term career opportunities**, especially at the lowest levels

Implications of high labour turnover

Problems	Opportunities
▪ Increased recruitment and selection costs (e.g. advertising, interviews)	▪ New employees may bring fresh ideas and innovation

▪ Higher induction and training costs for new staff ▪ Lower productivity while new employees settle in ▪ Disruption to teamwork and relationships ▪ Loss of experienced employees and valuable knowledge ▪ Possible drop in morale for remaining staff	▪ External recruits can introduce different skills and perspectives ▪ Opportunity to hire staff with better qualifications or attitudes ▪ Removes underperforming or demotivated staff ▪ Opens up internal promotion opportunities for existing staff ▪ Can help reshape company culture or restructure teams more easily

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Case Study

Fresh Bites is a fast-growing chain of cafés based in urban areas across several countries. The company focuses on offering healthy snacks and drinks with fast service

Over the past 12 months, Fresh Bites has experienced **high labour turnover**, especially among its frontline staff, such as baristas and servers. Many employees leave within 6 months, often moving to other hospitality businesses or retail jobs

Despite offering flexible shifts, employee feedback shows that staff feel overworked and underappreciated. Some managers have also left for better-paid roles in competitors like international coffee chains

Problems

- **Increased costs**: Fresh Bites has spent more on recruitment adverts, interviews and induction programmes, increasing its HR budget
- **Low productivity**: New staff often take weeks to become fully efficient, which affects speed of service and increases customer waiting times
- **Customer dissatisfaction**: Regular customers notice the constant change of staff and feel less connected to the brand

- **Team disruption**: Frequent resignations have made it difficult for teams to build strong working relationships
- **Loss of experience**: Skilled supervisors who knew how to deal with difficult customers or train others have left, creating knowledge gaps

Opportunities

- **Fresh talent**: Some of the new hires have brought creative ideas for improving the menu and customer experience.
- **Performance shake-up**: HR has started to review the training and reward systems to make the company more attractive and reduce poor performers.
- **Cultural reset**: With many new staff joining, FreshBites is working on creating a more positive and inclusive workplace culture.

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Low labour turnover

- **Low labour turnover** means that most employees stay with the business and few people leave each year
  - It's usually a sign of a **stable and satisfied workforce**
  - It can reduce costs and improve productivity, but it may also limit new ideas or make the business **slow to adapt to change**
- In many European countries, **public hospitals** have **low labour turnover** among senior doctors and nurses
  - Jobs often come with **secure contracts, pensions** and **career development** opportunities
  - Many healthcare workers feel **a strong sense of purpose and loyalty** to their patients and team
  - Leaving can mean **losing benefits or having to retrain** for work in another system or country
- This stability means hospitals **benefit from experienced staff**, strong teamwork, and lower recruitment costs
- However, it can also create challenges, including
  - **New practices and technologies** may take longer to adopt
  - Younger staff may feel **blocked from promotions**

Implications of low labour turnover

Problems	Opportunities
▪ Fewer new ideas or innovations entering the business ▪ Risk of a stagnant workforce or one that is resistant to change	▪ Lower recruitment and training costs over time ▪ Experienced staff know the business well and work efficiently

▪ Limited internal promotion opportunities may reduce motivation ▪ Long-serving staff may expect higher pay or more benefits ▪ Skill gaps may develop if no new expertise is introduced	▪ Strong relationships among long-term staff improve teamwork ▪ Greater loyalty, job satisfaction and commitment from employees ▪ Better customer service due to familiar and consistent staff

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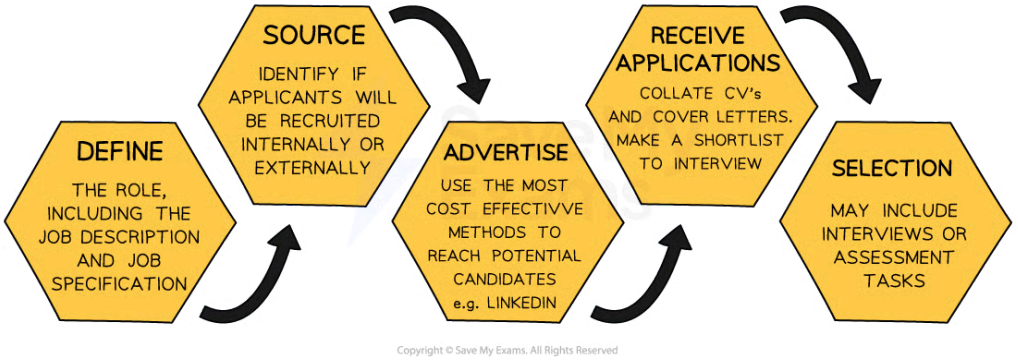
The recruitment process

- **Recruitment** is the process of attracting and identifying potential job candidates who are suitable for a particular role
  - Recruitment activities include **job advertising, job fairs, social media outreach, and referrals** from current employees
- **Selection** is the process of choosing the best candidate
  - Selection activities often involve **reviewing CVs** and **conducting interviews** or assessment tasks

The recruitment and selection process



The recruitment and selection process involves defining, sourcing, advertising roles and selecting a suitable candidate

1. **Define the role**

- This involves determining exactly what is required in a job and of suitable candidates
  - A **job specification** outlines the qualifications, skills, experience and personal qualities required **from a candidate** for a specific job, e.g. problem-solving, good communication, able to code in Java
  - A **job description** outlines the duties, responsibilities and requirements of a particular job

2. **Determine the best source of candidates**

- This involves deciding whether to advertise the role internally, externally or using a combination of both
  - **Internal recruitment** is the process of hiring employees from within the organisation
    - Internal recruitment can be beneficial as it encourages employee development, builds **morale** and can save time and money on training

- **External recruitment** is the process of hiring employees from outside the organisation
  - External recruitment can bring fresh ideas, experiences and perspectives to the organisation

3. **Advertise**

- Businesses with a strong social media presence can use platforms such as Facebook, LinkedIn or TikTok to advertise cost-effectively
- Adverts can be placed on specialist **recruitment portals,** such as the **Times Educational Supplement (TES)**, one of the main publications used to recruit teachers

4. **Receive applications**

- This stage involves **collecting information** from potential candidates
- Someone within the business manages this application process
  - A **shortlist** of candidates from the many applications received is drawn up
    - The shortlist contains candidates whose applications closely match the job description and job specification
  - A selection of candidates on the shortlist are **invited to interview** or take part in the next round of selection activities

5. **The selection process**

- This process varies significantly between organisations
- Common methods of selection include interviews, testing and presentations

Internal and external recruitment

- **Internal recruitment i**s the process of hiring employees from within the organisation
  - It can involve the **promotion** or **redeployment** of staff to fill a vacant post
  - Vacancies are advertised internally on **staff notice boards**, in **newsletters** or via **in-house electronic communications**

Evaluating internal recruitment

Advantages	Disadvantages

▪ Internal candidates are **already familiar with business culture and processes**
  ▪ Can adapt to the role quickly
  ▪ Little need for induction training
▪ Business has a good **understanding of the candidate's strengths, weaknesses, skills and aptitudes**
	▪ Can lead to **conflict** or **resentment**
	▪ May affect **motivation** and **working relationships** between successful and rejected internal candidates
	▪ A **further vacancy is created** when an employee is promoted/redeployed
	▪ A **limited number of suitable applicants** may be available internally

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▪ **Opportunities to progress** can be **motivating** for existing employees ▪ **Cheaper** and **quicker** to promote or redeploy existing staff rather than recruit externally	▪ Missed opportunity to inject **new ideas, experience** or **skills** into the business

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- **External recruitment** is the process of hiring employees from outside the organisation
  - External recruitment can bring fresh ideas, experiences and perspectives to the organisation
  - However, it is often **more expensive** than internal recruitment
  - There is also a **greater degree of uncertainty** as external candidates are unknown to the business

Recruitment methods

- Recruiting the right employees is crucial for any business aiming to achieve its objectives effectively
- Recruitment methods include traditional newspaper advertisements to modern online platforms, as well as specialist recruitment agencies

1. Job advertisements

- Publishing job openings through newspapers, magazines or noticeboards

Advantages	Disadvantages
▪ Many potential applicants ▪ Can target specific audiences (local, regional, or national) ▪ Relatively low cost	▪ May attract a high volume of unsuitable applicants ▪ Time-consuming to sort through many responses ▪ Limited engagement compared to interactive methods

2. Employment agencies

- External firms specialising in recruiting staff for other businesses

Advantages	Disadvantages
▪ Expertise in matching candidates to roles ▪ Saves time and resources in the recruitment process	▪ Can be expensive due to agency fees ▪ Limited control over the initial selection process

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▪ Useful for filling specialist or senior positions	▪ Potential mismatch if the agency lacks understanding of business needs

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3. Online recruitment

- Advertising job openings on the internet via company websites or recruitment platforms

Advantages	Disadvantages
▪ Cost-effective and fast distribution ▪ Access to a large and diverse applicant pool of applicants ▪ Easy to manage applications electronically	▪ Risk of receiving large numbers of irrelevant applications ▪ Might exclude applicants with limited internet access ▪ Potential security and privacy concerns over online data handling

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Selection methods

- The **selection** stage begins with **collecting information** from applicants
  - A business may have its own **application form**, which gathers information such as personal details, qualifications, and work experience
  - Applicants may alternatively be asked to submit their **curriculum vitae (CV)** and a **covering letter**

1. Application form

- **Application forms** contain a series of standardised questions to which all candidates must respond
  - Name and contact details
  - Qualifications
  - Work experience
  - Positions of responsibility
  - Interests
  - A personal statement where the candidate explains why they would be suitable for the advertised role
  - The names and addresses of referees
- Application forms are often **completed online**

Advantages	Disadvantages
▪ All applicants provide identical information in the same format, making comparisons easier ▪ Reduces the risk of bias, as decisions are based on consistent criteria	▪ Limited information can be expressed, potentially missing key attributes ▪ Can discourage talented applicants who prefer showcasing their skills more creatively

2. Curriculum vitae (CV)

- A **curriculum vitae** is compiled by the applicant and may be standardised to apply for varied roles
- CVs usually include **similar information** to that collected in an application form
- Although it should be well laid-out and clear, there is **no single acceptable format** for CVs

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- An accompanying **letter of application** outlines
  - Why the applicant wants the job
  - Why they would be suitable for the advertised role

Advantages	Disadvantages
▪ Easier for candidates, leading to more applicants applying, as they can quickly adapt existing CVs ▪ Allows candidates to highlight unique experiences and strengths not explicitly requested by employers	▪ Comparing varied CV formats is time-consuming, lengthening the recruitment process ▪ Important details might be omitted by applicants, making candidate comparisons less thorough

- Once received, applications are **sifted** to identify the most well-suited applicants for the role
  - A **shortlist** of preferred candidates is compiled
  - These candidates are invited to take part in the next stage of the selection process

3. Interviews

- Interviews are face-to-face meetings (in-person or virtual) where applicants are asked questions about their skills, experience and knowledge

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- A **set of relevant questions** is used for all candidates to ensure that the interview is conducted in a fair and consistent manner
- Interview questions may focus on
  - **Skills and experiences** relevant to the job
  - **Successes and failures**, and how these were overcome
  - Personal **interests and experiences**

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4. Tests

- Assessment tests provide shortlisted candidates with the opportunity to demonstrate their integrity, suitability for the job, aptitude or specific skills
  - This can help a business gauge whether a candidate would be **a good fit** within the existing team
- The assessment tasks may include **psychometric tests**, group exercises, knowledge tests or presentations
- They typically assess **problem-solving** and **critical thinking skills**, giving employers an idea of a candidate's **potential**

5. References

- Job applicants are usually asked to provide the names of two referees who can vouch for their skills, work ethic and overall suitability for the position
- Referees should know candidates in a **professional capacity** and be able to speak positively about their abilities
- They are usually listed on the application form or CV and are typically contacted once a job offer has been made

Employment contracts

- An employment contract is an **agreement between an employer and an employee** that outlines the terms and conditions of their working relationship, including
  - The employee's **working hours** and expected **work pattern,** e.g. full-time, part-time or **shifts**
  - The contract period, e.g. permanent, temporary or for a **fixed term**
  - Entitlement to paid leave, e.g. holidays, parental responsibility
  - **Notice** periods for both the employee and employer
- The legal status of employment contracts **differs between countries**
  - In most countries, a contract is a **legal requirement** that comes into force **as soon as the employee accepts their job offer**
  - In some countries, a **verbal agreement** has the same legal status as a written contract

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Types of contracts

Type of contract	Explanation
Permanent	▪ Ongoing employment with no end date ▪ Used for long-term roles needing specific skills or experience ▪ Provides job security for employees and stability for employers
Fixed-term	▪ Employment for a set period, with clear start and end dates ▪ Often used for temporary roles or to cover staff absences like parental leave
Casual	▪ Irregular, on-demand work with no guaranteed hours ▪ Common in busy seasons, e.g. summer ▪ Suitable when specific skills are needed but long-term commitment is not

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Redundancy

- Employees are made redundant when the **job is no longer available** and the business reduces the size of its workforce
  - **Voluntary redundancy**
    - The employee chooses to leave, usually in return for a financial package
  - **Involuntary redundancy**
    - The employer selects employees to leave due to reasons like cost-cutting, closures, or restructuring
- Redundancies are common when a business is placed in **administration**
  - Reducing the workforce size can reduce costs significantly, improving the **viability** of a business
  - E.g. In early 2024, **The Body Shop** was placed into administration
    - Plans were made to close 75 retail stores, making 500 employees redundant

Dismissal

- Dismissal (otherwise known as firing or sacking) is the **termination of employment** by an employer against the will of the employee
  - **Fair dismissal**
    - For valid reasons, such as misconduct, incapability or redundancy with a fair process
  - **Unfair dismissal**
    - When the process is flawed, discriminatory or without just cause.
- Employees are usually terminated due to their **misconduct** (e.g. violating company policy) or **poor performance**
  - The employer may choose to dismiss them immediately (without notice or compensation) or provide a **notice period**
- Businesses must take care to avoid **unfair dismissal**
  - Workers can take legal action against employers if they feel their dismissal is unfair
  - E.g. An employee at **Lidl**'s head office in Ireland, dismissed after missing work for 69 days over a 16-month period, was awarded compensation of €16,000 when it was established that he had correctly followed the company's sickness absence policy

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Examiner Tips and Tricks

You do not need to be able to quote specific laws related to redundancy or dismissal, but you may need to demonstrate that you understand the difference between them and can explain the impacts on both the business and the employee of leaving employment in each of these ways.

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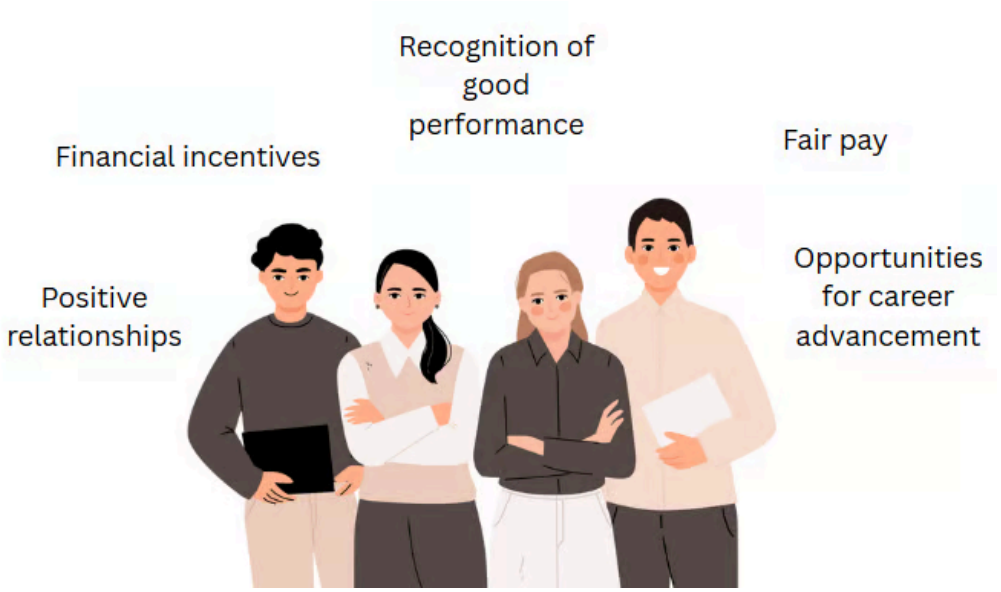
HRM, employee morale and welfare

Morale

- **Morale** refers to the overall attitude and satisfaction employees feel towards their workplace
  - High morale typically leads to increased productivity, creativity and loyalty
- The human resource management (HRM) function is often tasked with ensuring good employee morale and welfare

Factors that boost employee morale



Factors that boost morale include fair pay, recognition of good performance and positive worker-manager relationships

- **Fair pay and financial incentives**
  - Offering fair salaries and extra financial rewards, such as bonuses or profit sharing, motivates employees, making them feel valued and fairly treated
- **Opportunities for career advancement and personal growth**
  - Employees become motivated when they see clear opportunities to progress within a business, developing new skills and taking on greater responsibilities
- **Recognition of good performance and achievements**
  - Regularly acknowledging employees' achievements boosts self-esteem and motivation and encourages continued high performance
- **Positive relationships among staff and management**

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- Good relationships within the workplace create trust and mutual respect, improving communication and cooperation across the business

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Welfare

- Employee welfare relates to measures businesses take to ensure the health, safety and wellbeing of their staff
- Businesses that look after employees' welfare often experience higher productivity, lower staff turnover and fewer days lost due to illness

Examples of employee welfare measures

Measure	Explanation
Health insurance and medical benefits	▪ Providing health insurance ensures employees have access to necessary medical care ▪ This improves well-being- and reduces absenteeism
Safe and pleasant working conditions	▪ Safe, comfortable workplaces prevent accidents and reduce stress ▪ This increases employee satisfaction and productivity
Training on health and safety	▪ Regular health and safety training reduces workplace risks and empowers employees to handle situations effectively ▪ This improves worker confidence and gives them peace of mind
Mental health support and counselling	▪ Offering mental health resources helps employees manage stress and anxiety ▪ This improves their resilience and may improve productivity

Work-life balance

- Work-life balance refers to employees' ability to balance work responsibilities with their personal life
- Effective HRM policies ensure employees have manageable workloads and sufficient personal time, improving morale, motivation and staff retention

Ways businesses can promote a good work-life balance

Measure	Explanation	Example
Flexible working hours or remote working	▪ Allowing employees to choose working hours or work from home gives them control over their schedules	▪ **Spotify** allows employees globally to work remotely, promoting productivity

	▪ This reduces stress and improves job satisfaction	and better time management
Paid parental leave	▪ Offering paid parental leave supports employees during significant life changes ▪ This helps balance family responsibilities and careers	▪ **Netflix** provides up to 52 weeks paid parental leave for employees worldwide, encouraging staff retention and loyalty
Holiday entitlement and encouragement to take breaks	▪ Ensuring employees take regular holidays and breaks reduces burnout and boosts overall health and productivity	▪ **Daimler** actively encourages employees across its global branches use all of their annual leave entitlement to recharge and maintain productivity
Employee assistance programmes	▪ Providing access to confidential professional support services helps employees manage personal, emotional, or financial challenges	▪ **Tesco** gives its staff access to counselling and financial advice, supporting their overall well-being

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The impact of diversity and equality in the workplace

- **Diversity** means recognising, valuing, and respecting differences among people in the workplace
  - This includes characteristics such as gender, race, ethnicity, religion, age, disability and sexual orientation
- **Equality** means treating all employees fairly and ensuring everyone has the same opportunities, regardless of personal characteristics, and creating workplaces free from discrimination

The importance of diversity and equality to employees

- **Promotes fairness and reduces discrimination**
  - Emphasising equality ensures that everyone has the same opportunities and reduces unfair treatment or bias based on personal characteristics
- **Enhances job satisfaction, morale and motivation**
  - When employees see diversity and equality valued in their workplace, they become happier, more engaged and enthusiastic about their work
- **Provides equal opportunities for career development**

- Equality in the workplace ensures all employees can progress their careers based on skills and merit, rather than background or identity

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The impact of diversity and equality on business

Advantages	Disadvantages
▪ A wider range of ideas and perspectives improves creativity and problem-solving	▪ Possible communication barriers due to cultural differences, leading to conflict or misunderstandings if differences aren't managed effectively
▪ Enhanced reputation, attracting talented employees and improving staff retention	▪ Initial implementation costs for diversity training and policies
▪ Better understanding of diverse customer groups, boosting market appeal	▪ Challenges in balancing different employee needs and expectations
▪ Reduced legal risks and fewer discrimination claims, reducing costs	▪ Risk of tokenism, where diversity efforts feel superficial rather than genuine

Case Study

Adidas – successfully promoting diversity and equality

Adidas is a global sportswear company based in Germany, known for its popular footwear, clothing, and accessories. By actively promoting diversity and equality, Adidas has not only built a happier workplace but also strengthened its global brand

Diversity and equality measures

- **Equal pay policies**
  - Adidas ensures employees receive fair pay regardless of gender or background
- **Diverse recruitment**
  - It actively recruits people from different cultures, genders and abilities, making its workforce diverse
- **Inclusive training**
  - Adidas provides training programmes to help staff understand the importance of equality and respect among team members
- **Supporting female leaders**
  - Adidas actively encourages and supports women to become leaders, aiming for a balance in management roles globally

Impact on the business

- **Better teamwork**
  - Employees from different backgrounds work together effectively, bringing fresh ideas and solutions
- **Improved brand image**
  - Customers see Adidas as a fair and inclusive company, increasing loyalty and attracting more buyers worldwide
- **Motivated employees**
  - Workers feel valued and respected, leading to high morale and low staff turnover

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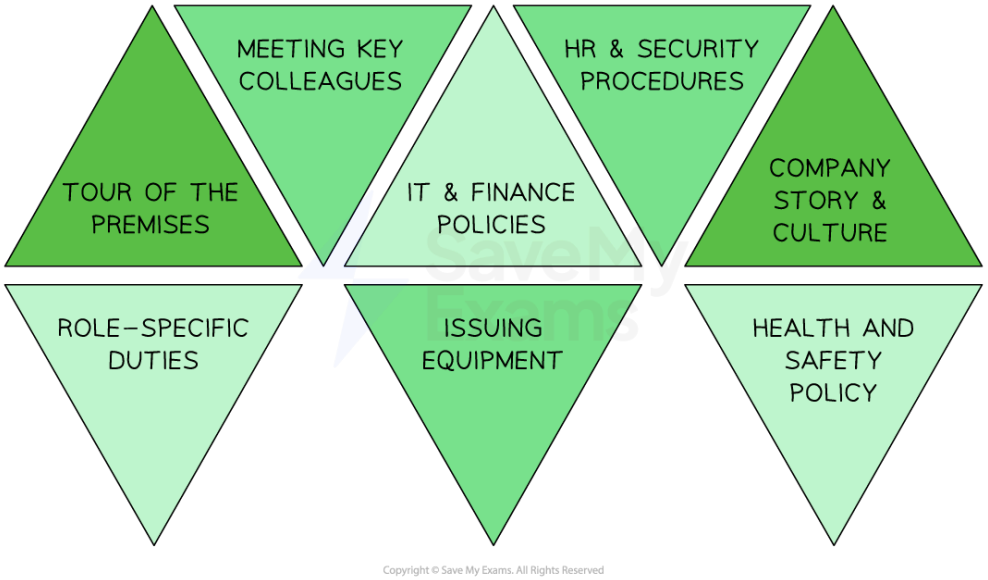
Different types of training

- Businesses need to make sure that new and existing staff are trained and developed appropriately
  - Training is the teaching of **new skills**
  - Development is the **improvement** of **existing skills**

1. Induction training

- Induction training is a type of training that **new employees receive** when they start working for a business

Components of induction training



Common elements of induction training

- Induction trtaining introduces employees to the business, its **culture**, policies, procedures, and their job roles and responsibilities
  - E.g.New employees at **Marks & Spencer** receive induction training that covers customer service, product knowledge, store policies and safety procedures

Evaluating induction training

Advantages	Disadvantages
▪ Helps new employees to **understand their job roles** and responsibilities	▪ Can be time-consuming and **expensive to organise**

▪ Introduces employees to the company culture, policies and procedures ▪ Improves employee confidence and motivation ▪ **Reduces the time** taken for new employees to become **productive**	▪ May not cover all aspects of the job role ▪ May not be effective in all cases, **leading to employee dissatisfaction** and higher turnover rates

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2. On the job training

- A type of training that takes place **while employees are working** in their job roles
- Employees **learn new skills and knowledge** from colleagues while performing their job duties
  - E.g. A sous chef at **The Ivy Restaurant** in York may receive **on-the-job training from the Chef** to learn how to prepare new dishes, use new equipment, or improve their cooking techniques

Evaluating on the job training

Advantages	Disadvantages
▪ **Training is tailored** to the employee's specific job role and responsibilities ▪ Training is often **more practical and relevant** to the employee's job duties ▪ **Can be cost-effective**, as it takes place during working hours	▪ Employees may make mistakes while learning, which can **impact productivity and quality** ▪ Can be disruptive to the workplace, as it **requires the trainer to devote time** to training the employee ▪ May not be effective in all cases, leading to **employee dissatisfaction** and higher **staff turnover** rates

3. Off the job training

- A type of training that takes place **outside of the workplace**
- It can be in the form of workshops, seminars, conferences, or online courses
  - E.g. Teachers can attend exam board training days at which they learn how to better teach the syllabus and help their students to prepare for their exams

Evaluating off the job training

Advantages	Disadvantages
▪ Employees learn new skills and knowledge outside of the workplace, which can **bring**	▪ It can be expensive to organise, especially if **travel and**

fresh ideas and perspectives to the workplace ▪ **Training can be tailored** to the employee's specific needs and interests ▪ Training can be **used as a reward** or incentive for high-performing employees ▪ **It can be cost-effective** if training is provided online or through **webinars**	**accommodation** are required ▪ Employees may **miss work** while attending training, which can impact **productivity** ▪ The training **may not be directly applicable** to the employee's job role or the needs of the firm

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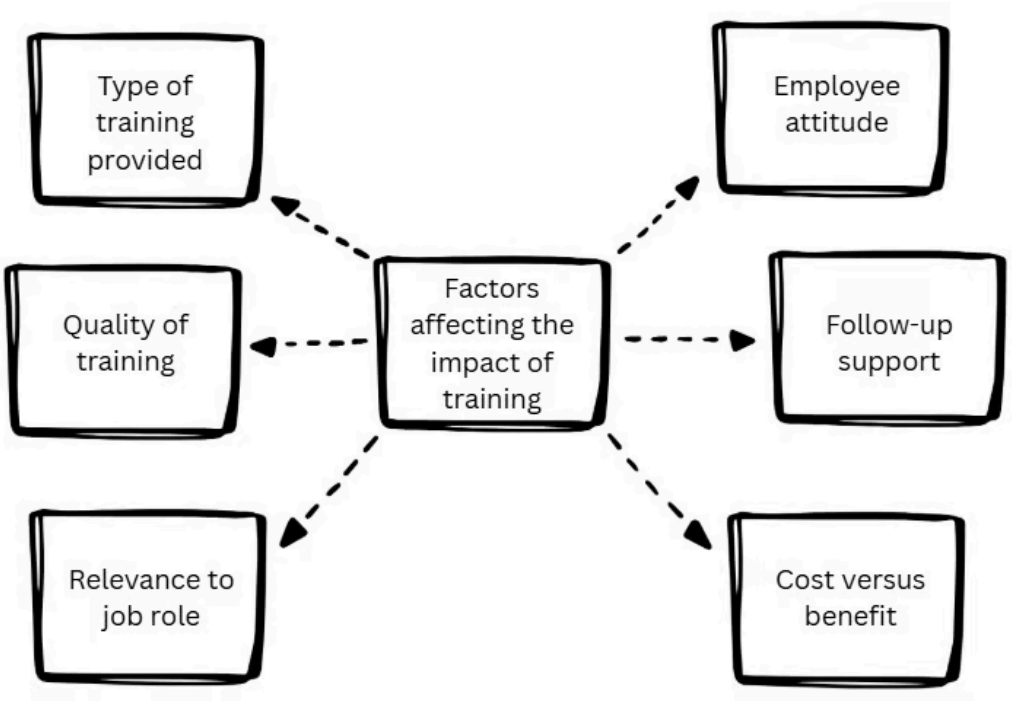
The impact of training and development

- Effective training can improve employees' performance, as well as their confidence and motivation in the workplace

Factors affecting the impact of training



The impact of training is affected by factors including its quality, the attitudes of employees and its relevance to the job role

1. Type of training provided

- **On-the-job training** is practical and inexpensive, and allows learning in a real work environment
  - However, it may be rushed or poorly structured if the trainer is not experienced, which can reduce how useful the training is
- **Off-the-job training** is often delivered by professional trainers and may include detailed or specialist content

- However, it can be costly and time-consuming, and employees are not working during this time, reducing productivity

2. Quality of training

- Training that is well-planned, clearly delivered and engaging helps employees understand and remember the information, and is more likely to improve performance and confidence
- If the training is badly organised, unclear or not suited to the employee's needs, it may waste time and money without improving skills or results

3. Relevance to job role

- Training must be directly linked to the employee's daily tasks and responsibilities
  - If the training is too general or unrelated, the employee may struggle to apply what they've learned to their actual job

4. Employee attitude

- Training works best when employees are willing to learn and see it as an opportunity for personal growth
  - Positive and motivated employees are more likely to engage with training and apply what they learn.
  - If employees are not interested or see training as a waste of time, its impact will be much smaller

5. Follow-up support

- After the initial training, it is important to give employees continued support, such as coaching, mentoring, or feedback
  - This helps them practise new skills and feel confident using them over time
- However, without follow-up, employees may forget what they learnt or not know how to apply it properly in real work situations

6. Cost versus benefit

- Training often requires money, time, and resources
  - Businesses must decide if the potential benefits, such as higher productivity, better customer service, or lower staff turnover, are worth the cost
- Well-targeted training that leads to noticeable improvements is usually worth the investment

Advantages and disadvantages of training to a business

Advantages	Disadvantages
▪ Can improve employee performance, leading to higher productivity and efficiency	▪ Training can be expensive, especially off-the-job or specialist courses

Your notes

▪ Increases motivation and job satisfaction, reducing staff turnover	▪ Takes time away from daily work, which can affect short-term output
▪ Helps employees adapt to new technology or changes in the business	▪ Some employees may leave after receiving training, taking skills elsewhere
▪ Builds a stronger, more flexible workforce ready to take on new roles	▪ Not all training is effective – poor-quality programmes may have little impact
▪ Enhances business reputation as a good employer, attracting new talent	▪ Planning and organising training takes time and resources

Your notes

Employee development to encourage intrapreneurship

- **Intrapreneurship** is when employees act like entrepreneurs **within** a business
  - They take initiative, develop new ideas, and look for better ways to do things while still being employed by the company
  - They help a business grow by driving innovation, improving processes or creating new products

Approaches businesses may take to encourage intrapreneurship

Approach	Explanation
Training in creativity and problem-solving	▪ Helps employees think in new ways, question current methods, and solve challenges independently
Encouraging idea sharing	▪ Creates space for employees to pitch ideas and be heard, with rewards for good suggestions
Job rotation and project work	▪ Increases employee knowledge across departments, giving them a broader view and more confidence to suggest improvements
Leadership and personal development programmes	▪ Builds confidence and skills needed for independent thinking and decision-making.
Creating a culture of trust and experimentation	▪ Encourages employees to try new things without fear of failure, which helps ideas grow

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Employee development to encourage multi-skilling and flexibility

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- **Multi-skilling** means employees are trained to carry out a variety of tasks, not just one specific job
- **Flexibility** means employees can adapt to different roles, work patterns, or changing business needs
  - This might include flexible working hours, remote working or being able to switch between tasks and teams

Benefits of multi-skilling and flexibility

- **Reduces reliance on specific individuals**
  - When more employees are trained to do the same task, the business can continue running smoothly even if someone is absent
  - This avoids delays and reduces pressure on individual workers
    - E.g. If a chef is off sick, a multi-skilled kitchen assistant who has been trained in cooking can step in and keep a restaurant's service running
- **Helps the business respond quickly to changes in demand or workload**
  - Flexible and multi-skilled employees can be moved to busier departments or roles when needed
  - This allows the business to handle busy periods or sudden changes without hiring more staff
    - E.g. In a retail store, staff trained in both stocking shelves and working on the tills can be moved to the checkout area during peak shopping hours
- **Increases employee satisfaction**
  - Doing different tasks keeps work engaging and helps employees feel more skilled and confident
  - Varied work can reduce boredom and increase motivation
    - E.g. In a call centre, giving staff the chance to work on different types of calls or help with training new starters can make the job more enjoyable
- **Improves productivity and efficiency**
  - Multi-skilled workers are more useful across the business and can perform several roles
  - This reduces downtime and helps the business run smoothly
    - E.g. Manufacturing employees who can operate different machines ensure production continues even if one area has fewer staff available

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Approaches businesses may take to encourage multi-skilling and flexibility

Your notes

Approach	Explanation
Job rotation	▪ Employees are moved between different roles to gain a range of skills and experience
Cross training	▪ Employees are trained in tasks outside their usual role, so they can step in when needed
Team-based working	▪ Employees work in flexible teams that can shift roles depending on the task or project
Flexible working arrangements	▪ Employees are supported to work flexible hours or locations or shift between teams
Personal development planning	▪ Employees set goals with managers to build skills beyond their current role

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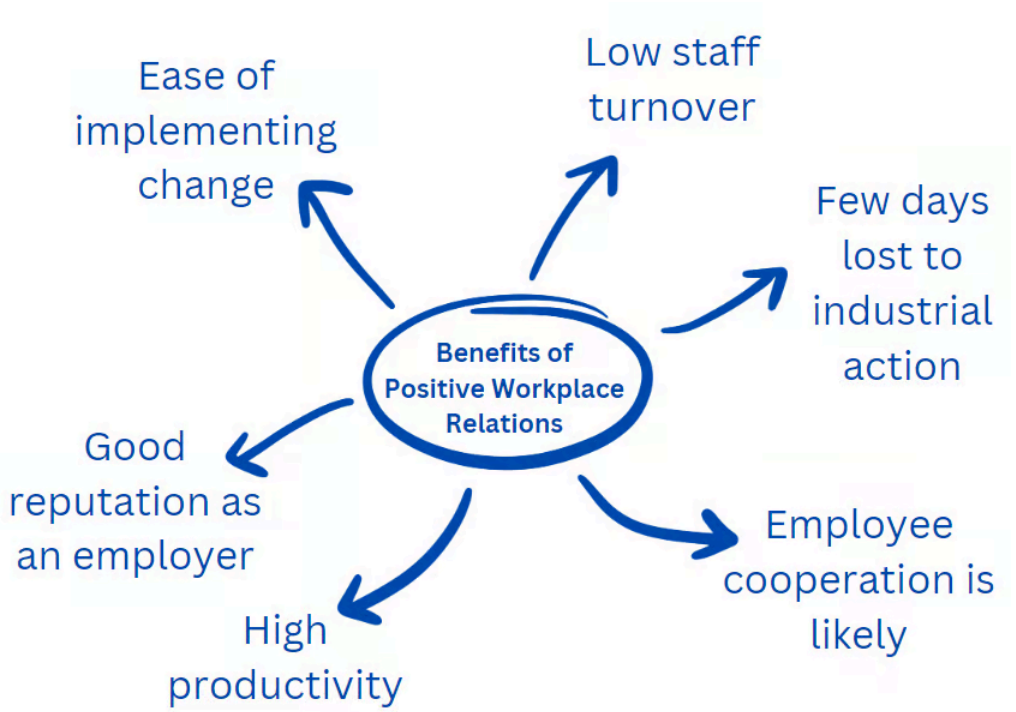
Your notes

Cooperation between management and the workforce

- Workplace relations refers to the **interactions between managers and workers** in a business, including
  - How change is communicated and implemented
  - How **grievances** and **disciplinary action** are pursued
  - The level of **consultation** on key decisions
  - Fairness and effectiveness of business processes
- Positive workplace **relations between management and workers** brings a range of benefits

Benefits of positive workplace relations



Good relationships between managers and workers leads to benefits including increased productivity, low levels of staff turnover, improved cooperation and fewer days lost due to industrial action

1. **Low staff turnover**
   - When workers have a positive relationship with their managers, they are **less likely to leave** or **face dismissal**

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2. **Few days lost to industrial action**
    - Industrial action is where trade union members, in dispute with management, protest or take action, such as **strikes**, to achieve their aims
    - Effective workplace relations mean that disruption as a result of industrial action is unlikely
3. **Employee cooperation**
    - Employees may **'go the extra mile'** for the business if they feel valued
    - Support from employees for key decisions means that objectives are more likely to be met
4. **High productivity**
    - Good working relationships mean workers are **less likely to be absent from work** and more likely to be **focused on maximising output**
    - Workers are more likely to **contribute ideas** that lead to improved performance
5. **Good reputation as an employer**
    - Businesses with good relationships avoid negative publicity
    - These businesses **attract** and **retain the best staff**
6. **Ease of implementing change**
    - Significant **change is more likely to be welcomed** rather than feared
    - Employees look to **play their part in implementing change**

Your notes

Employee morale and welfare

- Some businesses make great efforts to improve employees' welfare
    - Looking after workers is likely to lead to long-term loyalty and high levels of motivation, which can have a positive impact on **labour productivity**

Strategies to improve welfare

Strategy	Explanation
Equality and diversity	▪ Ensuring fair recruitment, pay, and promotion helps build a skilled, productive workforce ▪ A diverse team can also attract a wider range of customers
Provision of facilities	▪ Providing rest areas, worship spaces, refreshments, and access to guidance supports employee wellbeing
Wellbeing policies	▪ Policies such as leave and limiting out-of-hours communication help improve work–life balance.

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Perks	▪ Offering extras like social events, staff discounts, or gym memberships can boost morale and motivation

Your notes

Work-life balance

- Ensuring employees have a **healthy work-life balance** can lead to several advantages
  - Less stress-related absence lowers business costs and reduces disruption to production
  - Increased employee output, as when they are at work, their focus is likely to be improved
  - A more diverse workforce that has time to enjoy leisure and creative activities outside of working hours

Ways to improve work-life balance

Teleworking	Flexible working

▪ Teleworking has become **increasingly popular** since the Covid-19 pandemic, when many workplaces were required to close
▪ Some businesses offer workers the option to **work from home** for some or all of the working week
▪ Online tools, such as **virtual meeting spaces** and **messaging apps,** have made teleworking possible
▪ Significant **cost savings** can be made as businesses no longer require large premises to accommodate staff
▪ Businesses often need to provide equipment, such as computers, to ensure workers can work effectively from home
	▪ Flexible working removes some of the rigidity of contracts of employment
	▪ Employees can fit their working commitments around family responsibilities or interests
	▪ Forms of flexible work include
	  ▪ **Flexitime**, where workers to arrange their weekly working hours according to their own needs
	  ▪ **Annualised hours**, where workers determine how and when they allocate working hours over a whole year
	  ▪ **Compressed hours**, where workers complete the hours in a standard working week in fewer days

Job sharing	**Sabbaticals**
▪ Job sharing is where two people share the work and pay of a single full-time job ▪ This approach is popular where workers have **care responsibilities** and wish to continue to work alongside these	▪ Some businesses grant workers the right to take an **extended period of leave**, often after a determined period of service ▪ The businesses promises to **keep the employee's job open** until their arranged return to work

▪ Businesses can benefit from the **input of two individuals** whilst incurring the cost of one employee ▪ Careful **coordination and communication** between job-sharers are required to avoid duplication or omission of tasks	▪ Sabbaticals are **generally unpaid,** though paid sabbaticals are sometimes used to attract the best talent to hard-to-fill positions

Your notes

Examiner Tips and Tricks

Flexible working may appear to offer benefits that are largely focused on the employee

In the exam, you could be asked to analyse the impact on a business of flexible working

You should focus your answer on improved employee motivation and productivity, as well as the ability to attract a larger number of candidates to advertised job roles

The impact on employers and employees of trade union involvement in the workplace

- A trade union is an organisation whose **members come together to achieve common goals**
  - Union members pay a **membership fee** and **elect representatives** in the workplace
- They **negotiate with employers** to **improve terms and conditions** of employment for workers
  - Improved pay
  - Increases in paid holidays
  - Reduced hours of work
  - Sufficient rest breaks
  - Improved training and development
  - Better facilities
- Trade unions can also give individual **advice** when employees have a problem at work
  - They also **lobby governments** to pass laws that favour employees, such as improved health and safety regulations

Examples of trade unions

	Communication Workers Union (CWU) ▪ For people working for telephone, cable, digital subscriber line and postal delivery companies in the UK
	IG Metall ▪ The dominant metalworkers' union in Germany, making it the country's largest union as well as Europe's largest industrial union
	Unión General de Trabajadores (UGT) ▪ Spain's major general trade union, representing production workers in a variety of industries

- Trade unions can use a range of **approaches to resolve conflict in the workplace.** These include:
  - **Collective bargaining**
  - **Work-to-rule**
  - **Strike** action

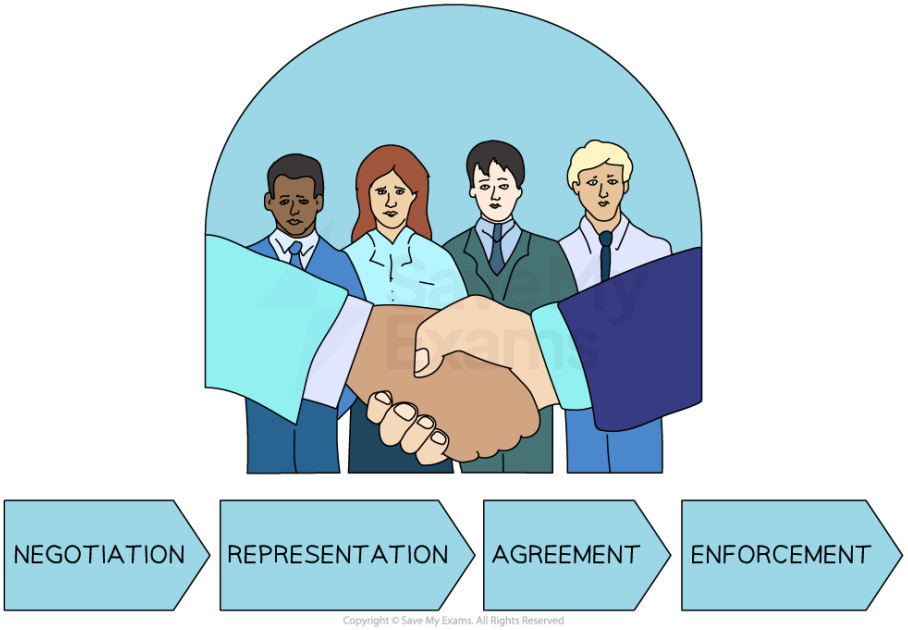
Collective bargaining

- A process where **trade unions negotiate with employers** to reach agreements on terms and conditions of employment
  - It is a structured way for employers and employees to come to a **mutually acceptable agreement**
  - Trade unions have **greater negotiating power** than individual employees
  - Negotiations typically cover a range of issues, including wages, working hours, benefits and workplace conditions

The collective bargaining process

Your notes

Your notes



This process leads to conflict resolution and collective agreement

- The goal of collective bargaining is to reach a **collective bargaining agreement**
  - This is a **legally binding** document that determines the employment relationship for a specified period
    - Both parties **must adhere** to the terms of the agreement
    - If further disputes arise, tools such as **mediation** and **arbitration** can be used

Other forms of industrial action

Industrial action	Explanation	Example
Work-to-rule	▪ Workers **complete only tasks explicitly stated** in the contract of employment ▪ Work begins and ends at times stated in the contract ▪ Staff refuse to cover for absent colleagues	▪ The UK's NASUWT union instructed its members in schools and colleges to work to rule ▪ This included refusing to carry out extracurricular activities, midday supervision and work during lunch breaks
Strike action	▪ Workers collectively **refuse to work** ▪ They are **not paid** when taking strike action	▪ Two of the biggest unions representing French ski resort workers called for strike action during the 2023 ski season

	▪ Action may take place **continuously** or on **specified days** of work ▪ A **ballot** of trade union members must find a **majority in favour** of taking such action	▪ The intention was to disrupt operations during the peak tourist season to achieve pension reforms, better pay and improved working conditions

Your notes

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